and expertise in a particular field are better equipped and incentivized to make unbiased decisions. Unfortunately for experts, and for those who rely on them, the academic evidence is unequivocal: systematic decision-making, which relies on models, outperforms discretionary decision-making, or experts. We will come back to this point in a moment, but first let's discuss some other reasons experts might not always provide flawless advice.

What Are the Experts' Incentives?

When paying a financial expert to manage your money, a good question to ask is the following: What are the experts' incentives? This is important to know, because even if the expert has true knowledge about financial markets, misaligned incentives can destroy an *edge* the expert has, or make the expert look better than he really is. Here are a few examples of when experts' incentives might not be properly aligned:

- *Focusing on short-term vs. long-term results*. Consider a financial expert creating a value strategy with an assumed "edge," or ability to beat the market in the long run. This expert can decide to invest in 200 of her best stock ideas or 50 of her best stock ideas. The expert faces a trade-off between these two approaches. On one hand, the expert knows that, over the long-haul, buying the cheapest 50 value stocks will be a better risk-adjusted bet than the 200-stock portfolio, since the larger portfolio would be dilutive to performance in the long run. On the other hand, the expert also understands that the 50-stock portfolio has a higher chance of losing to a standard benchmark in a given year, which will could cause her to lose clients in that year. The expert, who assumes, correctly, that most investors focus on short-term results, will opt for a 200-stock portfolio in order to minimize downside risk (and retain clients), and thus, will create a suboptimal product that doesn't fully leverage her expertise. In effect, the expert is indeed an expert, but there is an incentive alignment problem between the expert and investors that negates the benefits of her expertise.
- *Exploiting authority to generate business*. Let's say we have two financial experts. One expert shows up in a pair of jeans and a